

an ethical consumer. With Loews bothering my conscience, I thought back on an interview I once did with Rian Fried, one of the editors of *The Clean Yield*. That interview was unrelated to this project, but it turned out to be relevant.

Mr. Fried was an animated, intelligent, mustachioed ethical detective, feared and loved as the Hercule Poirot of the ethical-investment industry. At a lunch in Northampton, Massachusetts, he told me of his delight at finding the dirt on companies that were popular with ethical investors. For instance, he'd noticed the IBM typewriters in Franklin Research, a socially conscious investment company that would never touch IBM stock.

He said he spent hours a week skimming trade magazines to search for obscure evidence. He caught Lotus—an ethical favorite because it wouldn't sell anything to the military—selling to the military indirectly through another company that sold to Zenith, which in turn sold to the military. He caught another ethically popular computer company red-handed: making a hard disk that could withstand a nuclear attack! Why would they make a disk like that unless they were going to sell it to some military outfit that hoped to stay on line during World War III?

I remembered Mr. Fried's having said, "I don't care what anybody tells you. They may be watching a GE television set and GE is into nuclear weapons. They may want you to buy a Sony but Sony isn't into American labor."

What better person to resolve the ethical question of the Loews option than Mr. Fried? In fact, we had discussed options. First, I'd asked him if it was all right to short an unethical stock—in other words to bet on its downfall. Mr. Fried hadn't been sure: "When you short a stock you want the thing to go down, to punish the company because of what the company did. That's OK. But then you're also profiting from the bad thing."

Then I'd asked: If a stock is unethical, is it all right to buy the option? He'd said he thought it was. An option was one step removed from a stock, which in the case of a tobacco company meant it was one step removed from the tobacco.

Recalling this conversation, I felt I could buy Loews options with a clear conscience. These options were sold right there behind the Board of Trade building, a few blocks from my hotel.